29 Oct 2026 10:51:54 ET | 12 pages

# Foxconn Industrial Internet (601138.SS)

## 3Q26 Results Better than Feared; Model Update

### CITI'S TAKE

FII released 3Q26 results today. Rev beat at Rmb384bn and NP came in better than feared at Rmb16.6bn against the backdrop of Rubin and Apple product launch delay. Of note, **cloud computing** biz rose by 75% YoY/25% QoQ in 3Q26 (vs. 76% YoY in 1H26), with GPU AI rack shipment up by 70% YoY/15% QoQ and ASIC AI rack shipment up by 1.5x YoY/80% QoQ. 800G+ switch shipment also up by 80% YoY / 25% QoQ (vs. 1.4x YoY in 1H26). Accordingly, we adjust 2026–2028 NP by 4%/0%/0% to Rmb59/89/115bn. New TP of Rmb69.

**3Q26 better than feared** — 3Q26 revenue was up 25% QoQ/58% QoQ to Rmb384bn, beating CitiE/BBGe by 4%/6%. GPM at 7% (flat QoQ/YoY), below CitiE/BBGe by 0.3pts. OP came in at Rmb21bn (+22% QoQ/+63% YoY), below CitiE by 4% but ahead of BBGe by 3%. NP printed Rmb16.6bn (+27% QoQ/+60% YoY), below CitiE by 5% but 8% ahead of BBGe. The result was better than investors' bearish expectation of Rmb16bn on Rubin delay and iOS product launch schedule change, based on our conversations with the buyside. By segment, the company indicated that: **(1) cloud computing** biz rose by 75% YoY/25% QoQ in 3Q26 (vs. 76% YoY in 1H26). Specifically, GPU AI rack shipment up by 70% YoY/15% QoQ and ASIC AI rack shipment up by 1.5x YoY/80% QoQ. **(2) networking equipment** rev rose by 1.2x YoY/25% QoQ in 3Q26. Specifically, 800G+ switch shipment up by 80% YoY / 25% QoQ (vs. 1.4x YoY in 1H26).

**Implications** — Incorporating 3Q26 results and factoring Rubin delay / Apple product launch cadence, we cut our 2026 NP by 4% to Rmb59bn and keep our 2027/2028 estimates largely unchanged at Rmb89/115bn. New TP of Rmb67 (from 99) based on 15x 2027E (from 22x), equal to blended P/E of: (1) unchanged 15x 2027E P/E for the non-AI segment, in line with Apple supply chain average P/E; and (2) 15x 2027E P/E for the AI segment (from previous 25x) due to recent AI sentiment softness, which is in line with our other AI hardware peers' target P/E.

**Earnings Summary**

| Year to 31 Dec | Net Profit (RmbM) | Diluted EPS (Rmb) | EPS growth (%) | P/E (x) | P/B (x) | ROE (%) | Yield (%) |
|---|---|---|---|---|---|---|---|
| 2024A | 23,216 | 1.169 | 10.3 | 38.7 | 5.9 | 15.9 | 1.4 |
| 2025A | 35,286 | 1.777 | 52.0 | 25.4 | 5.4 | 22.1 | 1.4 |
| 2026E | 59,284 | 2.987 | 68.1 | 15.1 | 3.1 | 25.8 | 2.4 |
| 2027E | 89,149 | 4.492 | 50.4 | 10.1 | 2.4 | 26.5 | 3.6 |
| 2028E | 114,740 | 5.782 | 28.7 | 7.8 | 1.8 | 26.2 | 4.6 |

Source: Powered by dataCentral

**Buy**

| | |
|---|---|
| Price (29 Oct 26 15:00) | Rmb45.220 |
| Target price | Rmb67.000↓ |
| *from Rmb99.000* | |
| Expected share price return | 48.2% |
| Expected dividend yield | 3.6% |
| Expected total return | 51.7% |
| Market Cap | Rmb897,350M |
| | US$134,615M |

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**See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations**

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### Figure 1. FII result comparison

| | 3Q26 | 2Q26 | | 3Q25 | | 3Q26 | | 3Q26 | |
|---|---|---|---|---|---|---|---|---|---|
| Rmb mn | Actual | Actual | Q/Q | Actual | Y/Y | Citi | Diff. | Cons | Diff. |
| Revenue | 383,554 | 306,783 | 25% | 243,172 | 58% | 368,699 | 4% | 362,746 | 6% |
| Gross profit | 26,819 | 21,435 | 25% | 17,020 | 58% | 26,906 | 0% | n.a. | n.a. |
| Gross margin | 7.0% | 7.0% | 0.0ppts | 7.0% | 0.0ppts | 7.3% | -0.3ppts | n.a. | n.a. |
| Op. profit | 20,989 | 17,192 | 22% | 12,871 | 63% | 21,928 | -4% | 20,323 | 3% |
| OP margin | 5.5% | 5.6% | -0.1ppts | 5.3% | 0.2ppts | 5.9% | -0.5ppts | 5.6% | -0.1ppts |
| Pre-tax profit | 19,431 | 15,493 | 25% | 12,221 | 59% | 20,457 | -5% | 20,457 | -5% |
| Net income | 16,634 | 13,146 | 27% | 10,373 | 60% | 17,590 | -5% | 15,466 | 8% |
| EPS (RMB) | 0.84 | 0.66 | 27% | 0.52 | 60% | 0.89 | -5% | 0.83 | 1% |

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Source: Citi Research, Company Reports, Bloomberg

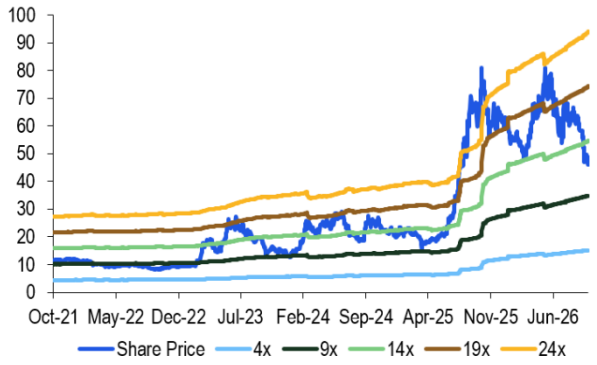
### Figure 2. FII Forecast Revision

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| (RMBmn) | New | Old | Chg. | New | Old | Chg. | New | Old | Chg. |
| Sales | 1,390,940 | 1,369,814 | 2% | 2,019,324 | 1,975,501 | 2% | 2,633,796 | 2,632,844 | 0% |
| Gross profit | 97,707 | 99,367 | -2% | 139,382 | 138,525 | 1% | 179,071 | 178,788 | 0% |
| Opex | (21,704) | (21,345) | 2% | (28,053) | (27,611) | 2% | (36,274) | (35,729) | 2% |
| Operating profit | 76,004 | 78,022 | -3% | 111,330 | 110,914 | 0% | 142,797 | 143,059 | 0% |
| Pre-tax profit | 69,338 | 71,771 | -3% | 104,144 | 103,369 | 1% | 134,040 | 133,393 | 0% |
| Net income | 59,284 | 61,617 | -4% | 89,149 | 88,881 | 0% | 114,740 | 114,696 | 0% |
| EPS (RMB) | 2.99 | 3.11 | -4% | 4.49 | 4.48 | 0% | 5.78 | 5.78 | 0% |
| **Ratio (%)** | | | | | | | | | |
| Gross margin | 7.0% | 7.3% | -0.2ppts | 6.9% | 7.0% | -0.1ppts | 6.8% | 6.8% | 0.0ppts |
| Opex ratio | -1.6% | -1.6% | 0.0ppts | -1.4% | -1.4% | 0.0ppts | -1.4% | -1.4% | 0.0ppts |
| Operating margin | 5.5% | 5.7% | -0.2ppts | 5.5% | 5.6% | -0.1ppts | 5.4% | 5.4% | 0.0ppts |
| Net margin | 4.3% | 4.5% | -0.2ppts | 4.4% | 4.5% | -0.1ppts | 4.4% | 4.4% | 0.0ppts |

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Source: Citi Research

### Figure 3. 12M Fwd. P/E Band




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Source: Citi Research, Bloomberg

### Figure 4. 12M Fwd. PE Chart




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Source: Citi Research, Bloomberg

# Bull/Bear: Foxconn Industrial Internet

Rmb 89.000 ▲97% Upside | Rmb 67.000 ▲48% Upside | Rmb 36.000 ▼20% Downside




Spread 117pp
Current Price and expected returns (upside/downside) as of 29 Oct 2026

**BULL Assumptions**
- 20x P/E

**BASE Assumptions**
- 15.0x P/E

**BEAR Assumptions**
- 8x P/E

# Foxconn Industrial Internet

## Company description

Foxconn Industrial Internet (FII), a subsidiary of Hon Hai, is a hardware company that develops networking products, servers, mechanical parts/cutting tool and robotics in Taiwan. Its products comprise both hardware and software in terms of manufacturing data collection. FII's top five customers account for 70–80% of total revenues. In June 2018, FII was listed on the China Shanghai Stock Exchange.

## Investment strategy

We rate Foxconn Industrial Internet (FII) shares a Buy. We believe FII should be a key beneficiary of CSPs' deployment of AI servers during 2025–2026E as a leading server ODM, and the market share gain driven by client portfolio expansion should bring higher revenue growth than peers. AI rev mix increase should also drive a better margin profile, in our view.

## Valuation

Our Rmb67 target price is based on 15x 2027E, justified by 2026–2028E earnings upcycle. Our target multiple is equal to blended P/E of (1) 15x 2027E P/E for the non-AI segment, in line with Apple supply chain average P/E, and (2) 15x 2027E P/E for the AI segment.

## Risks

Key downside risks that could cause FII shares to trade below our target price include: 1) lower-than-expected end-demand; 2) AI sector de-rating; 3) intensified competition in the server industry; 4) component and labor shortages; and 5) production yield issues.

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Foxconn Industrial Internet (601138.SS)

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Fundamental Research

Analyst: Karen Huang




| | Date | Rating | Target Price | Closing Price |
|---|---|---|---|---|
| 1 | 17-Dec-23 22:30:37 | *1 | 20.00 | 14.78 |
| 2 | 22-Apr-24 05:05:41 | 1 | *30.00 | 20.84 |
| 3 | 15-May-24 19:52:27 | 1 | *33.00 | 24.30 |
| 4 | 24-Jun-24 00:15:58 | 1 | *36.00 | 27.55 |
| 5 | 13-Aug-24 17:42:20 | 1 | *35.40 | 20.78 |
| 6 | 23-Feb-25 17:44:38 | 1 | *28.00 | 23.20 |
| 7 | 29-Apr-25 14:49:30 | 1 | *26.00 | 18.09 |
| 8 | 10-Aug-25 21:23:14 | 1 | *48.00 | 36.59 |
| 9 | 17-Aug-25 19:21:43 | 1 | *60.00 | 44.86 |
| 10 | 29-Oct-25 13:07:31 | 1 | *101.00 | 80.80 |
| 11 | 12-Jun-26 06:21:28 | 1 | *99.00 | 70.13 |

*Indicates Change

Rating/target price changes above reflect Eastern Time

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| | 12 Month Rating | | | Catalyst Watch | | |
|---|---|---|---|---|---|---|
| ***Data current as of 01 Oct 2026*** | **Buy** | **Hold** | **Sell** | **Buy** | **Hold** | **Sell** |
| Citi Research Global Fundamental Coverage (Neutral=Hold) | 61% | 32% | 7% | 36% | 48% | 16% |
| *% of companies in each rating category that are investment banking clients* | 39% | 43% | 30% | 42% | 38% | 36% |

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